COURSE

## IB Diploma Programme Business management SL

# Market share and segmentation

**Unit 4: Marketing · 4.1 Introduction to marketing; 4.2 Marketing planning**

Revision for Unit 4: Marketing: each firm works it out on its own deals.

Class **IB Business Management SL** Topic **Market share and segmentation**

THE LESSON

| | |
|---|---|
| **Setup** | 3 min |
| **Round 1** | Decisions 3 min · Deals 5 min · Topic tasks 4 min |
| Firm decisions · Deals · Topic task 1 · Topic task 2 | |
| **Round 2** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal | |
| **Round 3** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal | |
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Revenue in one segment.

**Dealer’s revenue from this segment?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Town’s car sales, a year | **£850,000** |
| First-time buyers, % of sales | **30%** |
| Dealer’s share of them | **20%** |

METHOD

**Revenue = town sales × segment % × dealer’s share**

30% × £850,000 = £255,000; × 20% = £51,000

**Why:** The segment is worth £255,000. The dealer takes 20% of it.

## Task 2

ROUND 1

A higher market share is your main marketing objective.

**Which two are benefits of a high share?**

PICK TWO

- ✔ **Buyers see you as the leader**
- ○ Higher profit is certain
- ○ Less need to control costs
- ✔ **More buying power with suppliers**
- ○ The market grows faster

**Why:** A leader buys better and is trusted, but share does not guarantee profit.

## Task 3

ROUND 2

Three markets, sales last year and this year.

**Order by market growth, fastest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **2,000 to 2,300 cars**
2. **8,000 to 8,800 cars**
3. **20,000 to 21,000 cars**

**Why:** Growth: 15%, 10%, 5%. The most extra cars is the slowest growth.

## Task 4

ROUND 2

A growing segment.

**Dealer's revenue from it next year?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Town's car sales, a year | **£500,000** |
| First-time buyers, % of sales | **20%** |
| Segment grows by | **5%** |
| Dealer's share of segment | **10%** |

METHOD

**Revenue = town sales × segment % × growth × dealer's share**

20% × £500,000 = £100,000; + 5% = £105,000; × 10% = £10,500

**Why:** Find the segment, grow it, then take the dealer's share.

## Task 5

ROUND 3

Your sales rose 10% this year. The market rose 20%.

**Did your firm do well, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **No**
- ○ Yes

**Why:** Your share fell: rivals took more of the growth than you.

## Task 6

ROUND 3

Win a bigger share.

**Extra cars needed next year to hit the target?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Town sales this year | **550 cars** |
| The market grows by | **20%** |
| Dealer's sales this year | **44 cars** |
| Target share next year | **10%** |

METHOD

**Extra cars = target share × market next year − sales this year**

550 + 20% = 660; 10% × 660 = 66; 66 − 44 = 22

**Why:** The target is a share of next year's bigger market.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**9**
of them on market share and segmentation

**The game draws 6 of the 109 Level 3 questions; these 9 are about market share and segmentation.**

1 A service-plan provider targets small delivery firms whose vans each travel more than 30,000 miles a year. Which bases of segmentation are being combined?
**Business size and usage rate.**

2 A dealership sold 420 of the 6,000 vans sold in its regional market. What was its unit market share?
**7%.**

3 Owners of cars over eight years old respond strongly to fixed-price repair bundles. Which targeting rule uses the evidence most directly?
**Target owners of 8+ year-old cars.**

4 Research finds commuters driving 40–70 miles a day with no home charging. Which proposition fits this segment best?
**A hybrid offer with charging advice.**

5 A regional dealer sells 1,350 vehicles in a market of 18,000. What is its unit market share?
**7.5%.**

6 The Sales lead has separate evidence for one-van sole traders and 200-plus vehicle national fleets. Why question one identical proposal?
**Their needs and buying power differ.**

7 A dealer has identified family, taxi and delivery segments. It now advertises only to delivery firms. What has it done?
**Targeted one segment of the market.**

# Final questions

8 5,600 vans are sold in a region in a year, and one dealer group sells 728. What is its market share?

**13%.**

9 A dealer's van sales rise from 300 to 345 while the regional market grows from 2,000 to 3,000. What happened to its market share?

**Share fell from 15% to 11.5%: rivals won more new demand.**